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US stocks slide and Treasuries rally as bank sell-off resumes

Investors also eye Federal Reserve rate decision and debt ceiling risks

The ECB will decide on interest rates on Thursday, with the market mainly pricing in a rise of 0.25 percentage points © FT montage/EPA-EFE/Shutterstock

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Treasuries rallied and Wall Street stocks retreated on Tuesday, as a sell-off in US regional banks unnerved investors ahead of crucial decisions from big central banks this week.

Investors piled into US government debt, pushing the yield on interest rate-sensitive two-year Treasuries 0.15 percentage points lower to 3.98 per cent, while the yield on 10-year Treasuries fell 0.13 percentage points to 3.44 per cent.

In equity markets, Wall Street's benchmark S&P 500 fell 1.2 per cent, dragged down by the energy sector, which lost 4.3 per cent as fuel demand weakened in the US and China. The tech-heavy Nasdaq Composite ceded 1.1 per cent.

"What's going on today is a flight to quality," said Mimi Duff, managing director at GenTrust. "We feel like the stresses in the banking system are not over."

US regional banks were in the spotlight in New York, as PacWest Bancorp plunged 27.8 per cent and Western Alliance Bancorp shed 15 per cent. The KBW Regional Banking index lost 5.5 per cent, its worst session since March 17.

"It's one domino after the next at the moment. The bears are moving on to the next place to short," said Mark Dowding, chief investment officer at Bluebay Asset Management.

The sell-off in regional lenders triggered fresh fears about financial stability, despite the rescue of First Republic this week, souring investor sentiment ahead of the Federal Reserve's monetary policy decision on Wednesday.

The US central bank is in a bind. Policymakers are tasked with bringing inflation under control even as the economy shows signs of cooling — job openings in America fell to their lowest level in almost two years in March — and as markets brace for a bank crisis-induced credit crunch.

Investors widely anticipate another quarter point increase on Wednesday that would take the benchmark federal funds rate to a new target range of 5 to 5.25 per cent, but they are less sure of what comes next for the Fed.

Jim Reid, managing director at Deutsche Bank said "the main focus of the Fed tomorrow will be on whether they give any hints of forward guidance at all".

"Depending on where payrolls come down and the next inflation print, they could go on hold for a while," Duff said. "We know that monetary policy works with long and variable lags."

Dampening the mood further were concerns about the US debt ceiling, after Treasury secretary Janet Yellen warned on Monday that the federal government risks running out of cash as soon as June 1.

Oil prices fell for the second straight day, as international oil benchmark Brent crude and its US equivalent West Texas Intermediate each fell by more than 5 per cent.

In Europe, stocks were lower as rising eurozone inflation data raised investors' concerns that the European Central Bank would increase interest rates this week. The pan-European Stoxx 600 shed 1.2 per cent, with the Cac 40 in Paris down 1.5 per cent.

The falls came after reports that eurozone inflation accelerated to 7 per cent in April, up from 6.9 per cent in the previous month, its first increase in half a year.

"This is a clear invitation for the ECB to continue hiking interest rates," said Carsten Brzeski, chief eurozone economist at ING.

The ECB will decide on Thursday, with the market mainly pricing in a rise of 0.25 percentage points, from 3 per cent. Investors are also expecting more increases this year.

The FTSE 100 lost 1.2 per cent as investors grew more cautious in response to falling oil stocks such as BP and Total. BP shares dropped 8.6 per cent in London after the UK energy group announced it was slowing the pace of its share buyback scheme.

Asian trading was mixed on Tuesday, with Hong Kong's benchmark Hang Seng index rising 0.2 per cent and Japan's Topix falling 0.1 per cent. Markets in China remained closed for Golden Week.

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